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EDITED TRANSCRIPT

SCHN.PA - Q1 2026 Schneider Electric SE Corporate Sales Call

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PRESENTATION

Operator

Good morning. Welcome to the Schneider Electric's first-quarter 2026 revenues call with Olivier Blum, Chief Executive Officer; and Nathan Fast, Chief Financial Officer. Thank you for standing by.

(Operator Instructions)

I would like to inform all parties that today's conference is being recorded. If you have any objections, you may disconnect at this time. I will now hand you over to Mr. Nathan Fast.

Nathan Fast - *Schneider Electric SE - Head of Investor Relations*

Thank you, operator, and hello, everyone. Good morning. Glad that you can be with us today. I'll personally kick off the call. I'm here together with Olivier Blum, our CEO. For the agenda, you already have the slides available. We'll go through them now and then make sure to have enough time for Q&A. As always, I remind everyone about the disclaimer on page 2. And with that, Olivier, I'll hand it over to you.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you very much, Nathan and good morning to all of you, and thanks for joining our Q1 results call. So I'll go straight into the presentation and share with you that we have delivered a very strong start in 2026 with a growth of 11%, EUR10 billion revenue, which is a record. Both businesses, as you can see, Energy Management and Industrial Automation have contributed to the growth.

We'll give you more details with Nathan later on, but you will see that all the regions are contributing to this growth in Q1. We have a very balanced growth across a different business model. You will notice, in particular, a strong start in product, and that gives us really a strong confidence for the rest of the year.

As usual, we like to report on our sustainability results. This time is important because it's the first time we are reporting on the new program that we shared with you during the Capital Market Day, but also during our yearly results. So it's very important to know sustainability has

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been part of the signature of Schneider. That does not live in a parallel universe. This is how Schneider Electric impact in the short term, but also in the long term.

And as usual, we would like to have a certain number of ambition and metrics which are very much connected to the business of Schneider Electric and how we can have a positive impact on all our ecosystem. In this new program, you will see that there is, on one side, a lot of continuity. We have retained a certain number of metrics, which are really the signature of Schneider. So for instance, save and avoided emission, we are going now and we are reaching -- we are going to the next level with 1.5 gigatons of CO2 to be saved and avoided by 2030. We continue to have a very strong focus, for instance, on giving access to electrification, clean electrification everywhere in the world and so on and so forth.

But you will notice also that we have new metrics which are related to the acceleration of electrification, how electrification help our customers to be more efficient, how we are going to commit to support the training of more electrification. And as usual, you will see a certain number of metrics on the social side, on the people side, both in terms of gender diversity, but also how we want to help the different generation.

So these are just the Q1 results. It's just the beginning of the program. So we'll probably take more time in H1 to report on the progress of every single metric, but that gives you a good indication on what is this new program and how it continues to make Schneider Electric a leader in sustainability and more important, how we continue to impact our entire ecosystem.

Going back to financial business and now looking forward, I'm not going to give you a long presentation on our strategy on the trend because we've done it in CMD and the early results. But just to give you a quick refresh on what we see across the three acceleration we presented to you, new energy landscape, digitalization AI, and Multi-Polar World.

Actually, there is a confirmation already in '26 that those trends are the right ones. We are entering and we have entered, I should say, since probably more than one year already in the new area with more electrification, renewable, decentralized energy, hybrid CDC, acceleration, of course, of AI everywhere, which means more power, more cooling. And I'm sure everyone would agree to say that the world continues to be very fragmented. So all those trends are very important because this is what we are using to position Schneider Electric strategically and even more important to differentiate Schindler Electric.

And of course, when you look at what happened in the Middle East, in the past weeks, we can all agree that it's the testimony already or an acceleration of electrification since all the countries have understood that they need to go to a next stage of more autonomy in energy, which means more electrification and to deliver more efficiency also in energy, it means more electrification and more digitalization which is really what Schneider Electric is focused on in terms of strategic differentiation.

So when we combine all of that, we believe we have entered already in what we call the fifth revolution. And I said already because it did not start in '26. I don't know if the starting point is '24, '25 exactly. But it is very, very, very obvious that AI is taking everything to the next level. Of course, it's a great opportunity for a company like Schneider in terms of AI infrastructure, but it's equally a great opportunity for us because this is what helps us to make energy more intelligent.

And as I just said, we are in a world today where energy is centered to everything. You -- there are different drivers. The driver can be cost for you in your home can be the cost for enterprise, can be the availability of energy, can be security and autonomy since by government. You can take it also from a sustainability standpoint. But definitely, the acceleration of electrification and digitization is going to the next level, since this era of intelligence where Schneider Electric has a very strong intention to be a market leader on the technology front.

So this is a slide that you have seen many times. So I'm not going to spend too much time. But just to tell you that the strategy we have built really continue to be extremely relevant. And if I recap to all of you, the journey we have been through. There was a first step in the past 10 years where we really built this EcoStructure stack on products. Products, which are now incorporating electronics at every level. Everything moving to the control layer, software-defined architecture and being able by capturing data everywhere in our stack to create more intelligence to our customers.

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So if you remember all the presentation we made, the priority one was really to build this unit technology stack and we don't believe there are a lot of companies that can pretend to operate across those three layers in building power, IT and industrial domain. And we have moved to the Stage 2, which was to be able to capture data, field data, operational data, enterprise data, but also third-party data. This is what we do by combining everything in the data cube.

And for me, the step three is not only leveraging data like we've been doing so far and we amplify it by AI, but the Stage 3 is creating energy and industrial intelligence, which is based on native AI this time. And this is what we are working on with the team really to differentiate our firm. So you could ask a question which -- what does it mean exactly in practical term. And I like this slide because it's a good summary of what Energy Intelligence means.

It has the capability really to pre-empt and optimize energy operations because we have been using data for many years in our system. But first of all, the traditional system were really siloed. They were operating in parallel universe. We were using those data with algorithm to monitor, to prevent based on data of the past. Most of the intervention were manual and it was taking a lot of time to respond. When we are moving to energy intelligence, you are moving to a place where everything is connected, all assets are connected. They speak to each other. That's why we have a single ontology.

We are able to capture data across the life cycle. So you design, you optimize, you design, you simulate, you build, you operate, you maintain and you capture those data that you bring back to the design stage that help you to permanently improve your efficiency.

And last but not the least, you are able to capture data that helps you to act and that help you to be extremely reactive, moving from reactive to preventive which help you to move very, very fast on the way you make your decision. So the bottom line is important. Energy Intelligence means your facility does not just tell you that something went wrong. It prevents the problem before it happens in real time and give you the insight to act. If it's not a critical application, it can even intervene on your behalf, adjust the temperature of your home or if it's a critical application, of course, an operator will be given the instruction.

So you understand that it changed really the game from an outcome standpoint and it gives much more outcomes to our customers. So this is basically this -- what I call the step 3 which is beyond EcoStruxure, beyond the fact that we have created the data cube to go to something which is more AI native and that is much more outcome for our customers.

So this is a slide that you have seen, but I'd like to present it because that shows how Schneider Electric is differentiated from a company a long time ago was providing which was providing hardware, we are now starting at the beginning of the life cycle, design, we design for instance, in the Omniverse, and we are launching right now when we speak a new product with the combination of AVEVA and ETAP to help to design and simulate the new data center.

We are able to build efficient data center, which are data embedded in all and every single hardware, which helps to operate and to maintain. But I also this quarter to show you another example because data center is extremely important, but we are implementing the same in all other segment of Schneider Electric.

Here is a very interesting example of a customer in food and bev. The Royal Aveva Group in Netherlands, their pain point was very, very simple. They wanted to have better access to power because there was a grid congestion. It was taking 8 to 12 years to have a connection to additional power and it was very important at the same time also to be able to electrify their process.

So we've been working with them to be able to provide a unique solution combining power and process, so leveraging all the activity we have bought in energy management and industrial automation and being able to help them to electrify and they capture data points that help them at the end of the day, want to have a faster access to power. So you see that this time, the driver was not necessarily efficiency and cost saving, but faster access to power and in that case, electricity because they were moving to electrify process.

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And in parallel to reduce the dependency on oil and gas, and to be able to have access to clean energy to reduce their CO2 emission. And this is a great example where we leverage the full portfolio of Schneider Electric on one side, but also AVEVA ETAP system on the other side to deliver great outcomes for our customer's.

So I'll just conclude my introduction to tell you that Q1 has been really a good start, as you can see from a top line standpoint in a market, of course, with more uncertainty related to the Middle East crisis. I confirm the priority for '26. So again, I insist, we continue to build a very strong technology leadership to deliver energy and industrial intelligence to our customers, leveraging the entire digital portfolio of Schneider, digital services, and software. We continue to work on the new energy landscape on all the applications like 800-volt DC for data center and it's very, very important because this is a segment where we want to keep a very strong leadership.

Last but not least, on the technology side, we are reinforcing partnership, partnership with supply chain companies, partnership with tech companies to make sure we can execute faster our strategy. We continue to go to the next level of regionalization in a market which is very fragmented in a world, I would say, which is more and more fragmented.

We do believe our operating model, which rely on four strong regions from sales, marketing to R&D to supply chain, make Schneider Electric different, faster to react in front of our customer. And with this evolution of our portfolio, we continue to be extremely focused on top of our historical partner business. We have an increased focus on our strategic accounts, what we call here our enterprise business because a large part of our portfolio will be decided at enterprise level in the future. And of course, very, very important, we continue to execute seamlessly our backlog.

Nathan will come back on that. But on the operational excellence, we are extremely focused on margin, gross margin improvement with a very strong focus on one side on productivity and cost efficiency of our product, but of course, an increased focus since last year on pricing excellence in order to be able to offset all the impact of raw material on one side, tariff on the other side. And as you can imagine, all the inflation that can be related to the Middle East crisis.

And in order to be very, very efficient, and we'll come back to you definitely during the course of the year, we are accelerating our investments in AI to increase our scale to be more scalable in the next cycle. 7% to 10% growth means much bigger Schneider year-on-year, and that's important that we build a model which is super cost efficient and scalable. And to do that, we are going to leverage big time AI in all our internal process. That's what I wanted to share in terms of business update, and I'm going to hand over to Nathan to give you more detail about our financial performance in Q1.

Nathan, over to you.

Nathan Fast - *Schneider Electric SE - Head of Investor Relations*

Perfect. Thank you, Olivier. And coming back to the topic of our Q1 revenues, I'll enter into a bit more detail now. Both businesses, as Olivier said, contributed to our overall growth in revenues of plus 11% organic, reaching a Q1 record of EUR9.8 billion. Energy Management was up strongly at close to 13% and Industrial Automation delivered growth above 4%.

The positive contribution from Scope is primarily from Motivair and at the anticipated level. We did continue to see negative impact from ForEx in Q1, primarily due to the depreciation of the US dollar. Based on current rates, we would expect the negative ForEx impact in 2026 to continue with between EUR750 million to EUR850 million impact on the full year revenues. So slightly less negative than when we made this projection in February and still negative 10 bps impact on the adjusted EBITA margin.

Now given the evolution of ForEx rates in H1 of 2025, we would expect that top line headwind to come primarily in H1; likewise, a slightly more negative impact on adjusted EBITA margin in H1 before recovering somewhat in H2.

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In terms of business models, Q1 showed a better balance than in recent quarters. We were plus 9% in products with the majority coming from volume, while price was broadly in line with our expectations and broadly aligned with the rate of realization in Q4. And I'll remind you that we expect this to ramp up throughout the year.

Coming back to product volumes, we will follow Q2 closely to confirm this positive inflection. Once again, the Systems business grew double digits at plus 16%, with growth led by Data Center, while our expectation remains for Process Automation to continue -- contribute, sorry, more growth in H2. For Software and Services, we were up 9% organic growth for the quarter with high single-digit organic growth at AVEVA and in services.

Before drilling down into the sales trends by business and geography, I'll make some comments on the demand trends we're seeing in our end markets. Overall, we see strong demand environment with Data Center being the most dynamic, but now with strong demand across the other three end markets also in Q1.

I'll start with Data Center, where the business environment remains very strong and a continuation of what we saw in Q4 of 2025 with the deal pipeline remaining strong. In terms of demand, we were up double digit here despite having a single, particularly large order in the baseline from Q1 of 2025. Sales growth was strong double digit as we executed on projects both in North America and around the world.

In Buildings, as you know, the majority of our exposure is non-residential, where we saw strong demand in several categories such as public building, retail, health care to name a few. In Residential, we see positive demand globally even with continued weakness in North America. In Industry, where we sell together energy management and industrial automation offers, we see strong demand with positive momentum in both Discrete and Process and Hybrid. The strong Demand in discrete confirms the continuation of the broad-based recovery in that part of the market and in Process and Hybrid, we continue to see strong demand across industries.

Finally, in Infrastructure, we see strong demand as well, led by Power and Grid and Water and Wastewater. Of course, the environment does not remain uncertain. And as expected, we will continue to monitor closely the evolution of our end markets.

Moving back to revenue and this time with the geographic lens, we are reporting for the first time under our new geographic roll-up, which was announced at the 2025 CMD and we made available with like-for-like comparables on our website earlier in the year.

All four geographies contributed to our strong start in the year with a continuation of double-digit growth we have been driving in North America over many quarters now; a rebound in growth rates in Europe against a slow start in Q1 of 2025, but also supported by strategic initiatives in 2026; a strong performance in China and East Asia due to performance across multiple end markets; and within South Asia and International, we see continued double-digit growth in India with the region overall impacted by the performance in the Middle East.

Turning now to the two businesses, and I'll analyse by geography. Energy Management was up 13% for the first-quarter, with North America at plus 16%, driven by growth in Data Center as well as in Power and Grid, though Residential Buildings remains quite weak. We did see pricing coming through in North America in the quarter. Canada grew double digit, while Mexico was once again down sharply.

In Europe, up 9% organic, the growth was led by data center with strong contributions from Industry and Infrastructure, while Buildings did see solid growth with Resi quite stable. China and East Asia grew a very strong plus 18%, with China up strong double digit, driven by Data Center and Semicon, while East Asia grew double digit, led by Thailand and Indonesia.

In our South Asia and International region, India was up double digits with strength across the end markets and notably in home energy management offers. Australia continued to see execution on data center projects, while Middle East and Africa was down low single digit in a time of increased uncertainty.

For Industrial Automation, it was up 4% for the quarter, with North America delivering plus 3% organic growth despite the continued weakness in Mexico. It was driven by strong performance in AVEVA, growth in Discrete automation across the region, while sales in Process and Industrial remained weak.

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Europe was up 5% with growth led by AVEVA, both in Discrete and Process and Hybrid saw solid growth. China and East Asia were up 5%, with China up low single digit and East Asia up double digit and in both cases, led by growth in Discrete automation, which was up high single digit across the region. South Asia and International was up 4%, with varied performance across the different zones, with India performing strongly, while the Middle East was impacted in the time of increased uncertainty.

Olivier, with that, I'll hand it back to you for the trends and for the guidance.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you, Nathan. So talking about the expected trends for the full year '26 in an environment which remains still uncertain, we expect to continue to have a very strong growth across the different markets. All our end markets are contributing to the growth. Of course, Data Center and Network continue to lead the growth based on the strong demand in '25 that we see being confirmed for this year and in the following cycle.

At the end, the Industry and Infrastructure are also accelerating that give great opportunity for us. I was just giving the example in food and bev, where more and more customers like this going to electrification that gives a very solid opportunity both in Industry, but also in Infrastructure, in Power Grid in particular. And we noticed this year, but probably also compared to a low basis, an improved contribution in Buildings segment, which is aligned with all the macroeconomic trends that you can see.

From a geographical standpoint, as we told you, all our regions, the four regions are contributing to growth; North America, Europe, China, international. And this year, we continue to see US and India being really on top of the others from a growth standpoint. Southeast Asia International, as Nathan said, had a good start, but impacted still by the uncertainty of Middle East, and we still expect to have a certain number of disruption and uncertainty created by the ongoing situation in the Middle East.

From a business standpoint -- model standpoint, we see a very balanced growth and all business model contributing to growth, Systems being the leading one, but also in Products, in Software and Services, which is again another marker of Schneider I think, balanced profile -- balanced exposure in end market, balanced exposure in geography, but balanced exposure in business model.

And we see for this year, an improvement of our products business with contribution of most of our product line, but in particular, recovery in Discrete. And we continue to see for the full year an acceleration of our Software and Services business, which is really at the core of what we call Energy and Industrial Intelligence driving more recurring revenues.

From an operational excellence standpoint, we executed the plan we have announced last year. This is why we expect for this year to be net price positive in value. So price to offset raw material impact and tariff and with a ramp-up throughout the full year 2026. The group expects the other driver of adjusted EBITDA margin expansion to be aligned with what we explained to you during the last Market Day.

So just to conclude on those expected trends to 2026, it means that we reaffirm today our '26 target, so which means a '26 adjusted EBITDA growth between 10% and 15% organic for the full year, which would be based on the revenue growth between 7% and 10% organically and the ramp-up of our adjusted EBITDA margin from 50 to 80 bps for the full year. So we are confirming this target. And now it's time to hand over back to you, Nathan.

Nathan Fast - *Schneider Electric SE - Head of Investor Relations*

Perfect, Olivier. So operator, we'll go to the Q&A now. (Event Instructions). Operator, I'll hand it over to you to get started.

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QUESTIONS AND ANSWERS

Operator

Phil Buller, JPMorgan.

Phil Buller - *JPMorgan Chase & Co - Analyst*

The Q1 results are obviously well above the midpoint of the guidance and are very broad-based. You've talked through the tough comp in Q1 for, I guess, one of the larger parts of the business, that is Data Center. So are there any other one-offs to call out in Q1, either good or bad? I'm thinking about, in addition to Data Center, China, Southeast Asia was fantastic. Europe was also strong.

I just want to ensure we're not incorrectly extrapolating anything for the balance of the year. And obviously, that's being asked because of market expectations at the top end of your guidance. So is that unrealistic based on what you're seeing and accounting for comps? Or would you go as far as to say that you're perhaps being a little bit conservative there?

Nathan Fast - *Schneider Electric SE - Head of Investor Relations*

Perfect. So Phil, there are quite a few different questions in your one question, but I'll try to step through them as possible. I guess, first, from a one-off perspective, yes, we mentioned the comp from last year in Data Center. I can get to -- probably I'll walk through some regional dimensions after that.

But from a guidance perspective, overall, I think it's usual our full year guidance is a range, right, and outcomes consistent with multiple different scenarios, which are reflecting both ends of that range, right? And we're pretty confident as what Olivier shared that the current situation, we remain well placed to deliver those results.

Now within that range, there's certainly room for the market to point to opportunities. You pointed to some of those driving us toward a higher end of the range. But equally in the environment of increased uncertainty and unknowns contained therein, I would suggest that a degree of caution is quite sensible, right? So that's to answer the broad question first now.

Maybe I'll answer a bit of detail on some of the other ones. Clearly, China and East Asia, we did see, as you described, the double-digit growth coming from China overall. It was pretty broad-based with Data Center, Semicon and also some projects in Buildings. Now we did see strong growth in Products as well in that region. And as I would mention that we look to see if the trend is going to be confirmed in Q2 or not.

And specifically for China, again, I'll reiterate, we did see some project-based growth in non-residential. I wouldn't call that onetime or something to call out specifically, but it's somewhere in the underlying trend. The last thing that I can probably mention because I think it's somewhere what you're alluding to in your question. From a pull-in or stocking effect, we didn't see anything out of the ordinary there in terms of the channel impacting the Q1 results.

Of course, we don't have a perfect view on that because it's a pretty diffused market. But the countries where we do have stronger visibility, we're pretty confident that the sell-in and sell-out is quite well balanced. So probably nothing to alert there.

I think I tried to cover all your elements there, Phil.

Phil Buller - *JPMorgan Chase & Co - Analyst*

Yes. That's exactly what I was looking for.

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Operator

Alasdair Leslie, Bernstein.

Alasdair Leslie - *Sanford C Bernstein & Co LLC - Equity Analyst*

Just a quick one on Data Centers. I mean you're highlighting more and more higher attachment rates and stronger service growth. I was just wondering if you could perhaps put those attachment rates in any kind of context relative to your traditional segment. I mean is it kind of already materially higher? Should it be structurally much higher going forward in your view?

And maybe if you could comment on how much further upside there still is in kind of areas like field services, digital services software in Data Centers as you kind of build out this installed base?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Sure. Look, it's a great question, and this acceleration that we see the opportunity is, of course, embedded in our strategy, in our guidance. But to answer your question a bit more precisely, the type of offer that we have built in digital services in Data Center is based on the fact definitely that we can connect assets, we can extract data, we can deliver more. It's not yet systematic. I want to be very, very clear.

But on those projects, when we are in front of a customer who is interested by this offer, the digital services contract can represent approximately 10% of the total value of the CapEx. And of course, it's very interesting because it's a contract which is based on the recurring revenues. So it's a services over a period of usually around three years. But that gives you a rough idea of what will be the magnitude.

Now it's not yet systematic. Again, it's a step-by-step, I would say, ramp-up in the different part of the world. It has started with some of our largest customers in the US first. It's something we are trying to scale across a larger number of customers and, of course, a larger number of regions.

So to keep it short, that's already embedded in all our numbers, both on the guidance, 7% to 10%, but also in the flywheel when we speak about the acceleration of recurring revenue, acceleration of Software and Services as a weight of the total revenue of the company. But that's what we expect as a progressive ramp-up in the next cycle. But it's definitely a very differentiated offer that we have versus our competitors. I hope it answers your question.

Operator

Jonathan Mounsey, BNP Paribas Exane.

Jonathan Mounsey - *Exane Bnp Paribas - Analyst*

Maybe just again, sorry, on Data Centers. Obviously, you're talking about a big, I think, order last year in Q1. So it's a tough comp. But obviously, a lot of the others who've already reported have talked of triple-digit growth in Q1. If you were to exclude that large order, were you up triple digits as well?

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Nathan Fast - *Schneider Electric SE - Head of Investor Relations*

So it's a good question, John. We're not going to answer precisely that question because you know we don't report out on orders. What I can say is that it was our largest elephant order of the year last year, right? So I can say that. And what we have seen in Q1 is that the underlying market momentum remains very strong, right?

And certainly at the kind of pipeline and order book and opportunity that we commented on in Q4, but we're not going to give precisely that number. But we do see the market -- the underlying market with the same momentum.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

And the additional point I'd like to mention is when we look at this data center market, different players have different way to engage with customers. The cycle -- when you book an order, it can be for kind of 12 months, 18 months. Anyway, you have a very, very different way of doing that business. For us, what matters at the end of the day is are we getting market share on a yearly basis on what we do execute. And we can confirm that we gained market share in '24. We continue to gain market share overall in that market in '25, and that's the most important metric for us.

Operator

Andre Kukhnin, UBS.

Andre Kukhnin - *UBS AG - Analyst*

I have to apologize in advance, it's sales release, but I'll ask about the margin cadence that again, Nathan, thanks for laying out the FX impact cadence. But if we think about the underlying drivers for first half versus second half and put that in the context of relatively easy comp from 2025 when I think you had over 100 basis points delta between H2 and H1 margin delivery, how should we think about this year? Can you narrow that delta in 2026?

Nathan Fast - *Schneider Electric SE - Head of Investor Relations*

Yes, Andre, so good question. Thank you. And you're right, it's not an earnings call. So I'll probably be a bit limited in what I reply there. But what we can say is that from a margin perspective and broadly, what you should read today is that the organic margin guidance was reaffirmed by Olivier.

What we've already kind of commented there in H1 is that we would expect gross margins at least to be flat to slightly negative, right? And that has a lot to do with the timing of price actions versus the input costs and tariffs, which a reminder that last year in H1, there was basically no tariffs, right? So from a year-over-year comps perspective, that should give you some sense of the seasonality.

But based on Q1 and where we're operating the plan, as Olivier mentioned, when he's talking about its priorities, we don't see anything different to mention there from a margin progression perspective than what we would have provided you already in February.

Operator

James Moore, Redburn Atlantic.

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James Moore - *Redburn Partners LLP - Analyst*

Could you talk about the timing and commercial potential of your step 3, Olivier, in terms of AI and native energy intelligence? I guess the questions are really when do you think that will come through? What percentage of the group's revenues can be augmented by it? Is it new revenue streams? And how you're going to monetize this? Is it tokens or subscription or just a price premium to the existing product?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you very much. There is a lot in your question, but I'll try to answer a couple of points. So it has started already, number one. Now does it mean that we have all those solutions which are AI native in all part of our portfolio for every segment? The answer is, of course, no. But it's not something which is going to happen in one or two years or three years from now. It has already started.

I can just give you a couple of examples. Last year, we've been able already to accelerate the sales of ETAP, thanks to the initiative we have with NVIDIA and the Omniverse, where we are able to design and simulate the electrical architecture of a data center.

So -- and we see that in our number in Software already last year. We are launching, as I said before, a solution this year to be able to do a full simulation -- design and simulation in Data Center on the electrical side, there with ETAP, but also on the cooling on the mechanical side, and we are combining the capabilities that we have with AVEVA and ETAP and probably we'll give you a demo at one point of time, but that's an offer we are already launching this year, which is very, very interesting.

We are launching also some new offers like foresight, for instance, in Buildings. So we have definitely this acceleration. How does it translate in terms of number to answer your question? I would say, very simply, you look at what we said in terms of flywheel acceleration by 2030. When we say we want to double our recurring revenues, we want to increase the portion of our Digital revenue, Software and Services. So all those metrics we are using across the digital flywheel are the metrics which are capturing the acceleration of the contribution of AI and therefore, what we call Energy and Industrial Intelligence.

Now what will be very difficult to say is what will be the exact ramp-up year-on-year, but we see definitely an acceleration over the cycle, which is great. And you've understood that a large part of that will be recurring revenue, which is something that we will have. So we are happy to give you more demo maybe in the -- during the current year on what we are doing, but we have already a many offer available in the market, and that's exciting.

Operator

Gael de-Bray, Deutsche Bank.

Gael De-Bray - *Deutsche Bank AG - Research Analyst*

Olivier, could you talk about the technology road map for the Data Center market over the next two to three years? How you are positioned, especially around things like the power sidecar, the UPS transition, the solid-state technologies as part of the direct current architecture?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Yes, absolutely. So as we said in many, many calls, it's something where we are investing quite a lot in R&D because it's something we see coming. Now to be very, very clear, and you can see any kind of market study, it will be a progressive ramp-up in the coming years. While we are obsessed really to be in a leading position from a technology standpoint, we have also to be all clear that it will be progressive. We will start to see probably the first project in the second part of '27, a little bit of acceleration '28, '29, 2030, but that will be really still a limited part, I would say, of the entire data center opportunity.

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Nevertheless, it's very, very important for us because here, we are combining the electrification and digitalization. And that's why we are investing a lot to develop those 800-volt DC. So sidecar, I would say, is what we call, as you know, the ready-made solution that can be put in place fairly quickly in the first project. But we are designing in parallel what will be the step 2, a much more compact and much more integrated solution regrouping the different part of the portfolio.

And the last comment I will make, and that's why I was mentioning strategic partnership. It doesn't mean to get this step 2, we need to do everything by ourselves. There is part of the portfolio where we have a core competency, core differentiation in electrification, for instance, that we will leverage. And we will also leverage some partner when needed to be able to deliver the full solution to our customers. So same happy to give you more demo during the year 2026, but it's an important part, of course, of our R&D investment.

But again, I repeat that will impact and that will touch, I would say, to be very clear, the P&L of the company not before '27, but in a very, very, very limited manner, and that will go step by step from '27 to 2030.

Operator

Ben Uglow, Oxcap.

Ben Uglow - *Oxcap Analytics - Analyst*

I really wanted to just get a qualitative sense around your pricing actions and how you were kind of approaching pricing in 2026 versus last year. I guess the reason is if we look at -- you had a bit of carryover from tariffs last year, we had raw material effects, and now we've got, I guess, underlying inflation. And my question is, are you able to be kind of tactically a bit more dynamic on pricing and offset some of those headwinds? So any color around what you're doing in the organization would be helpful?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you, Ben, for your question. And I will start probably with the big picture, and I'll let Nathan compete. It's a very important question because if you remember last year in our call, we realized when we started 2025 that we were somewhere at the end of the cycle, which -- what I call the COVID cycle, where you have this COVID period, post-COVID and there was up and down in pricing, which were very, very extreme, not always very, very rational. And last year, for us, it was very important to take a pause, step back and as part of our company program to differentiate much better how should be our pricing activity.

So to keep it short and simple, what we have done last year was to say there is one part which is strategic pricing that needs to be reinforced in every single part of our portfolio. Why I say it has to be reinforced because again, the COVID cycle has made us very, very, very tactical in the market. And there is a risk always when you become too tactical that you forget the strong basic of pricing properly your product and in particular, being able to have a strong pricing power on new innovation.

So that's why you see in our company program, a very strong focus on strategic pricing on one side, but as well and equally important, and you said it tactical pricing because last year, tariff came definitely as something which was new. End of last year, we had also an increase of raw material, for instance, in copper and silver. And this year, we see, of course, with the inflation cost of energy or indirect cost increase because of other materials which are impacted by the Middle East crisis. It means that we have to be much more reactive and much more tactical.

What I'm very pleased with this year on the tactical front, we've been able to implement our price increase at the beginning of the year. Of course, it takes a bit of time to ramp up because we are going also through channels, through distributor. You have to reprice some of our big contracts also in some cases that we have. But this time, I would say we are in a much better place to have both very strong focus on long-term strategic pricing, but also what I call more the tactical part. And that's why Nathan was saying also before that we will see a ramp-up across the full year in terms of pricing impact on our P&L.

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But maybe, Nathan, time to hand over to you to give more color on that.

Nathan Fast - *Schneider Electric SE - Head of Investor Relations*

No. So Olivier, that's a good illustration of the strategic and tactical. I think to even be a bit more zoom, right? We were quite proactive on pricing actions in Q1, and that includes list price increases across many geographies. And as you described, you expect that realization of those price actions to ramp up progressively across the year.

I think one example of that, right, and it's probably the market where you get price on the market the fastest suppliers do that to Schneider as well when you talk about technical, but is in China, where after many quarters of deflation and negative price in Q1 with list price increases and with the operational excellence, we actually see pricing positive in the quarter, right?

So that's an example of where that proactive pricing really realizes into our results quickly when it can flow through the channel. I think, operator, maybe one last question.

Operator

Martin Wilkie, Citi.

Martin Wilkie - *Citi Infrastructure Investments LLC - Analyst*

It's Martin at Citi. Just a question on Software. Obviously, a strong performance with ARR up 12% and a good performance in SaaS. But there's obviously a lot of market questions around the software model for many companies, not just for Schneider.

I mean, has there been any emerging change on how customers are looking to pay for your offerings, big debates around software being paid by outcome versus by seat and obviously, some emerging AI players, not really competing in your core business, but in some perhaps peripheral areas. But just trying to understand if there are any emerging signs of change in your Software offering?

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you very much. That's a great question, and I'll try to keep it short because it's an important one and of course, very strategic for Schneider.

First of all, if you look at the market, and I know there is a lot of question on the Software business and how it's evolving. I mean, what is very, very important to understand is we are positioning ourselves in areas which are extremely differentiated from a technology standpoint. We are positioning ourselves in critical infrastructure, so Energy and Chemicals, Data Center, where customers don't change their engineering software, don't change their software for monitoring on a regular basis.

Once you enter with a customer, you stay for a couple of years, not to say decades because these are very, very critical applications. So -- and we try really to position ourselves only in area or mainly in areas where we can really differentiate, which means doing stuff that nobody else could do in the market.

I was giving the example of Data Center, being able to design, simulate the full infrastructure of the Data Center in thermal, in electrical, in mechanical and being able to go across the life cycle by implementing the CapEx. There are not so many companies in the market that can do it. Likewise, with what we are doing with AVEVA in Energy and Chemicals. So when we screen our portfolio, we believe that the largest part of portfolio, I will not tell you 100%, but 90% probably-ish is not really impacted by the evolution of AI and impact on software.

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The second part of your question is equally important, and I'll keep it short here. What we have done with AVEVA in particular, and they were one of the leading company in the market when they moved to really flex model from a monetization standpoint was to build the commercial model much more on consumption than anything else, which means that we sign contracts where our customers are buying basically on the consumption base, they are buying units and those units are really -- they are not invoiced because they are invoiced, but they are used by any type of user. So it's not individual license by the number of users in the company, it's based on the consumption at the level of the company.

So this kind of business model that we have implemented help us, if you want to be probably more competitive in that new cycle. Of course, bottom line, that's something we are following very, very closely. But we believe, again, in this new era of intelligence where AI will create more value, if we are able to develop those solutions, which will be AI native and when we combine our software portfolio and our hardware portfolio, we believe this is a place where we can really differentiate Schneider in the future. And all of that is, of course, embedded in our long-term guidance when we speak about digital flywheel and contribution of software and services.

So sorry for a long answer, but it's a very, very important point, of course, that we are following very, very closely. But we -- while we are always very attentive on the threat, I would say we are at that point of time, more excited by the opportunity, and we see it basically growing month after month. Nathan?

Nathan Fast - *Schneider Electric SE - Head of Investor Relations*

Thank you, Olivier, and thank you, operator, for running us through the Q&A. I think we'll stop there. To close the call, as usual, the IR team will be available for you to engage after the call. And you'll also note that Schneider has appointed a new Head of IR, that will be effective June 1. So a warm welcome to Antoine Sage in the coming months. And we'll close there. Thank you, operator.

Olivier Blum - *Schneider Electric SE - Chief Executive Officer, Member of the Executive Board*

Thank you all. Have a good day.

Operator

Thank you, gentlemen. This concludes today's conference call. Thank you for participating. You may disconnect at this time.

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